



ROYAL UNIVERSITY OF AGRICULTURE

REPORT

Title: Economic Development in Cambodia



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ECONOMIC DEVELOPMENT IN CAMBODIA

1. INTRODUCTION

Gross Domestic Product (GDP) is a key indicator of a country's economic health and performance, reflecting the total market value of all goods and services produced within a nation over a given period ([World Bank, 2023](#)). In the case of Cambodia, GDP growth has been a central focus of development planning, as the country has undergone significant economic transformation since the early 2000s ([ADB, 2022](#)). Following decades of conflict and recovery, Cambodia entered the 21st century with a renewed focus on economic growth, poverty reduction, and structural reform ([Ministry of Economy and Finance \[MEF\], 2023](#)). The period from 2000 to 2023 captures more than two decades of Cambodia's economic journey, marked by periods of rapid expansion, external shocks, recovery, and stabilization ([World Bank, 2023](#)).

During these years, Cambodia evolved from a primarily agrarian economy to one with a more diversified structure that includes manufacturing, tourism, construction, and services ([ADB, 2022](#); [National Institute of Statistics \[NIS\], 2023](#)). Rapid industrialization, increased foreign direct investment, and integration into regional and global markets played pivotal roles in this transformation ([IMF, 2021](#)). However, the country also faced several challenges, including the global financial crisis in 2009 and the COVID-19 pandemic in 2020, both of which tested the resilience of its economic system ([IMF, 2021](#); [World Bank, 2023](#)).

This report analyzes Cambodia's GDP, Growth Rate (%), Population data from 2000 to 2023, examining the annual growth rates and identifying key trends, challenges, and milestones in the nation's economic development. By evaluating this data, the report aims to provide a comprehensive understanding of Cambodia's economic progress and its capacity to withstand and recover from external shocks, offering insights into the country's future growth prospects ([MEF, 2023](#)).

2. METHODOLOGY

This research adopts a quantitative, descriptive analytical approach to examine Cambodia's economic performance from 2000 to 2023 using annual Gross Domestic Product (GDP) data. The main objective is to identify long-term trends, key growth periods, and economic disruptions based on GDP values (in million USD) and corresponding annual growth rates (in percentage).

2.1. Data Collection

The data used in this study was obtained from official secondary sources, including national and international economic databases such as the World Bank, International Monetary Fund (IMF), and national statistical reports of Cambodia. For consistency, the data set includes two variables for each year:

- Cambodia's GDP in current USD (million)
- Annual GDP growth rate (%)
- Population

2.2. Data Organization

The data was compiled into a structured table covering the period from the year 2000 to 2023. It includes 24 consecutive annual observations. The GDP figures and growth rates were arranged chronologically to identify trends over time.

2.3. Analytical Approach

A descriptive statistical analysis was applied to evaluate GDP performance. Key techniques used include:

- Trend analysis: Examining year-on-year changes in GDP and growth rates to detect patterns of expansion, slowdown, or recession.
- Growth period categorization: Classifying the data into high-growth, low-growth, and negative-growth periods for comparative analysis.
- Compound Annual Growth Rate (CAGR): Calculated for the full period to determine the average annual rate of GDP increase over 23 years.
- Visual representation (optional): Charts and graphs may be used to enhance the understanding of economic trends across time.

2.4. Interpretation of Findings

The results were interpreted in the context of domestic economic policies, global economic events (e.g., financial crisis, pandemic), and sectoral contributions (e.g., agriculture, industry, services). This contextual analysis supports a deeper understanding of the factors influencing Cambodia’s GDP growth.

3. RESULTS

3.1 GDP (million USD) and Growth rate (%)

Table1. Cambodia GDP (million USD) and Growth rate (%)

Year	Cambodia GDP (million USD)	Growth rate (%)
2000	3666.6	
2001	3991.8	8.87
2002	4289.4	7.46
2003	4664.9	8.75
2004	5337.9	14.43
2005	6293.0	17.89
2006	7274.6	15.60
2007	8639.2	18.76
2008	10351.9	19.82
2009	10401.9	0.48
2010	11242.3	8.08
2011	12829.5	14.12

2012	14054.4	9.55
2013	15228.0	8.35
2014	16702.6	9.68
2015	18050.0	8.07
2016	20016.7	10.90
2017	22177.2	10.79
2018	24571.8	10.80
2019	27098.0	10.28
2020	25872.8	-4.52
2021	26961.1	4.21
2022	29504.8	9.43
2023	31940.0	8.25

Source: [FAOSTAT](https://www.fao.org/faostat/): <https://www.fao.org/faostat/>, Accessed:25/05/2025

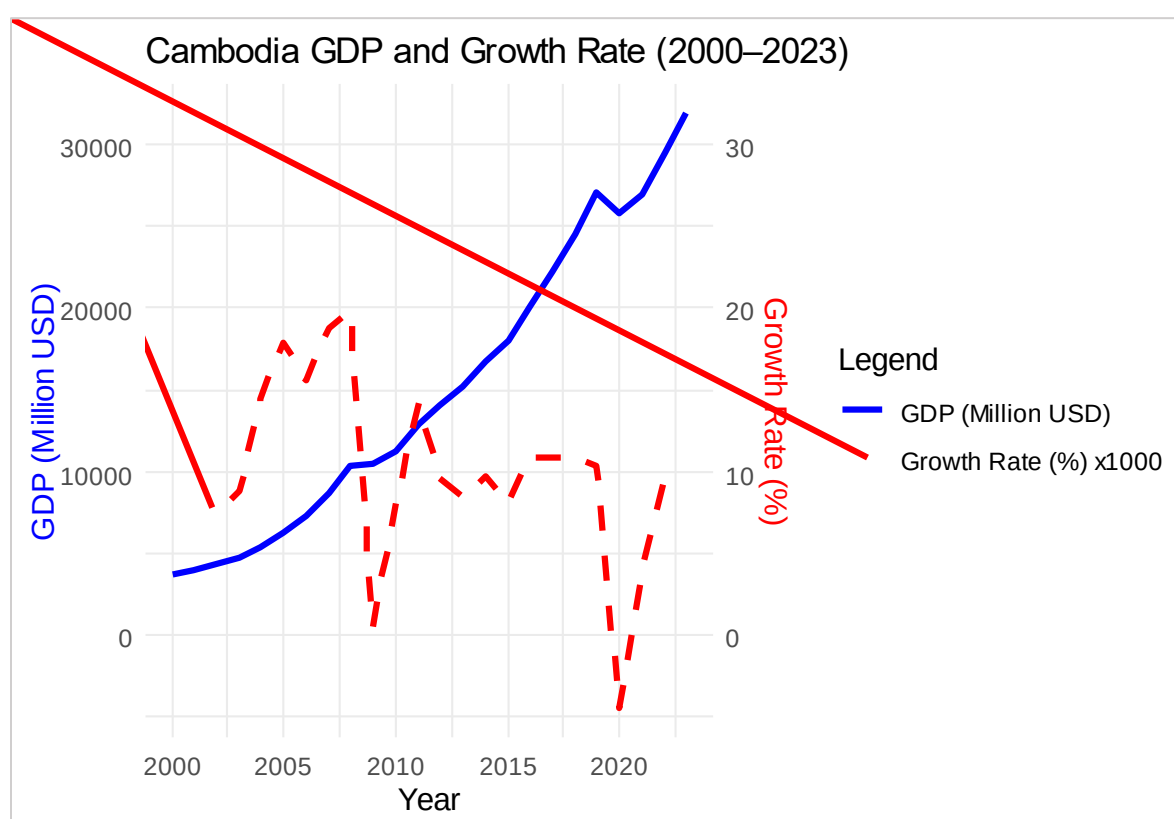


Fig.1 Cambodia GDP (million USD) and Growth rate (%)

Cambodia's GDP steadily increased from 2000 to 2023, rising from USD 3,666.6 million in 2000 to USD 31,940.0 million in 2023, reflecting a more than 8.7-fold increase over 23 years and indicating sustained economic growth. From 2000 to 2008, the country experienced rapid expansion, with growth rates ranging from 7.46% to 19.82%, driven by strong performance in garments, construction, tourism, and agriculture. Particularly, the years 2004 to 2008 showed

exceptional growth, peaking in 2008 at 19.82%. However, 2009 marked a significant slowdown due to the global financial crisis, with growth plummeting to 0.48%. Despite this, the economy rebounded in 2010 with 8.08% growth, followed by 14.12% in 2011 and consistent rates between 8% and 10.9% through 2019. GDP growth was steady during this period, reaching USD 27,098.0 million in 2019, showing signs of a maturing economy. The COVID-19 pandemic in 2020 severely disrupted economic activities, leading to a GDP contraction of -4.52%, the only decline during this 23-year period. Key sectors like tourism and trade were heavily affected. However, the economy showed resilience by recovering to 4.21% growth in 2021, then sharply increasing to 9.43% in 2022 and 8.25% in 2023, bringing GDP to USD 31,940.0 million. The period of 2004–2008 remains the most dynamic in terms of growth, averaging over 15% annually. Economic development during these years was supported by rapid industrial expansion, increased foreign direct investment, and significant contributions from exports. Post-2009, the economy entered a phase of stable and consistent growth, reflecting improved governance and macroeconomic management. Despite the setback in 2020, the recovery was supported by policy interventions, reopening of global markets, and revived domestic consumption and exports. The services and industrial sectors expanded, with gradual diversification of the economy. Agriculture's share decreased slightly as industry and services grew. Infrastructure development, urbanization, and digital services also contributed to economic transformation. Public investment in health, education, and structural reforms improved the investment climate. Trade agreements and regional integration helped expand exports, while remittances and FDI became crucial income sources. Cambodia's average annual GDP growth rate from 2000 to 2023, calculated as compound annual growth rate (CAGR), stands at approximately 9.43%, underscoring a long-term trend of robust development. The data shows that Cambodia effectively navigated multiple external shocks and maintained a strong growth trajectory, demonstrating economic resilience and adaptability. With continued policy support and investment in diversification, Cambodia's economic outlook remains positive, and further growth is expected in the coming years. The period from 2000 to 2023 clearly showcases Cambodia's transformation into a stronger, more diversified, and steadily growing economy.

3.2 GDP (million USD) and Population, and Gross Domestic Product Per Capita (USD)

Table1. Cambodia GDP (million USD) and Population Cambodia

Year	Cambodia GDP (million USD)	Population Cambodia
2000	3666.64	12462336.00
2001	3991.80	12658484.00
2002	4289.41	12855241.00
2003	4664.89	13050968.00
2004	5337.90	13244731.00
2005	6293.05	13439202.00
2006	7274.60	13639028.00
2007	8639.24	13841770.00
2008	10351.91	14053479.00
2009	10401.85	14276810.00

2010	11242.28	14500726.00
2011	12829.54	14722584.00
2012	14054.44	14945085.00
2013	15227.99	15170208.00
2014	16702.61	15396772.00
2015	18049.95	15623251.00
2016	20016.75	15852803.00
2017	22177.20	16073372.00
2018	24571.75	16274522.00
2019	27097.96	16481304.00
2020	25872.80	16725474.00
2021	26961.06	16974305.00
2022	29504.83	17201724.00
2023	31940.05	17423880.00

Source: [FAOSTAT](https://www.fao.org/faostat/): <https://www.fao.org/faostat/>, Accessed:28/05/2025

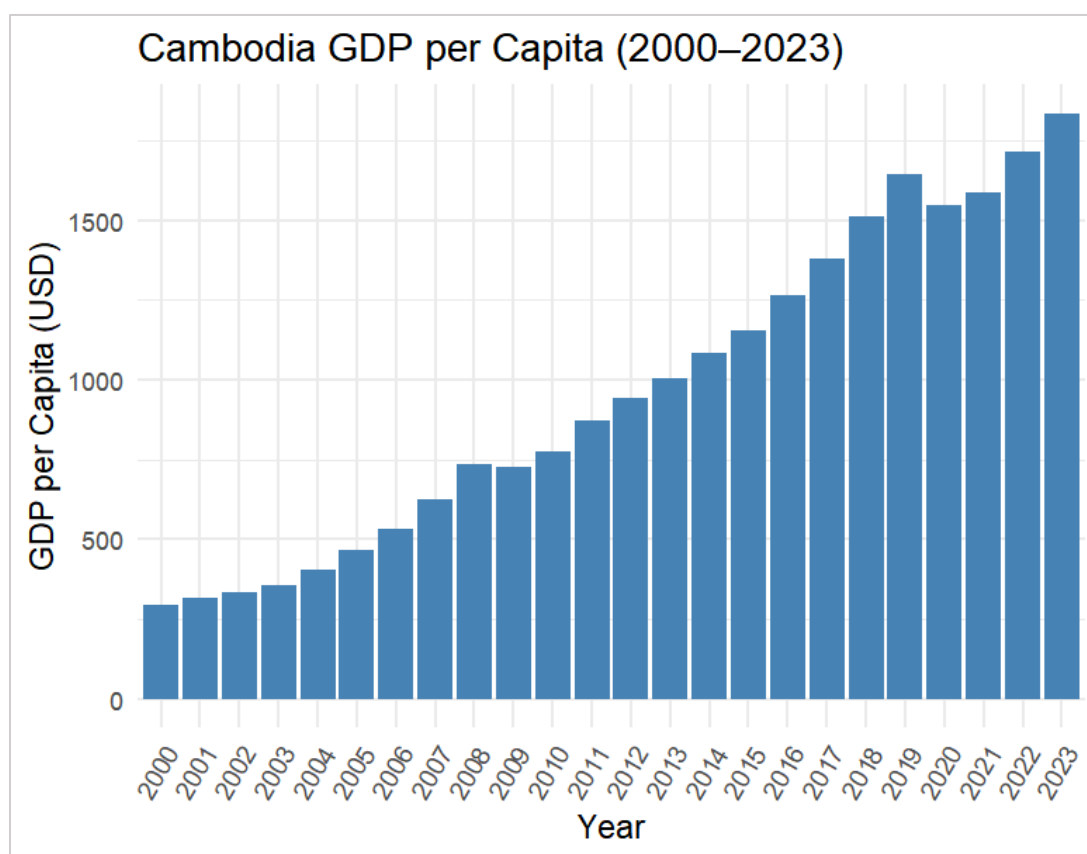


Fig. 2 Gross Domestic Product Per Capita (USD)

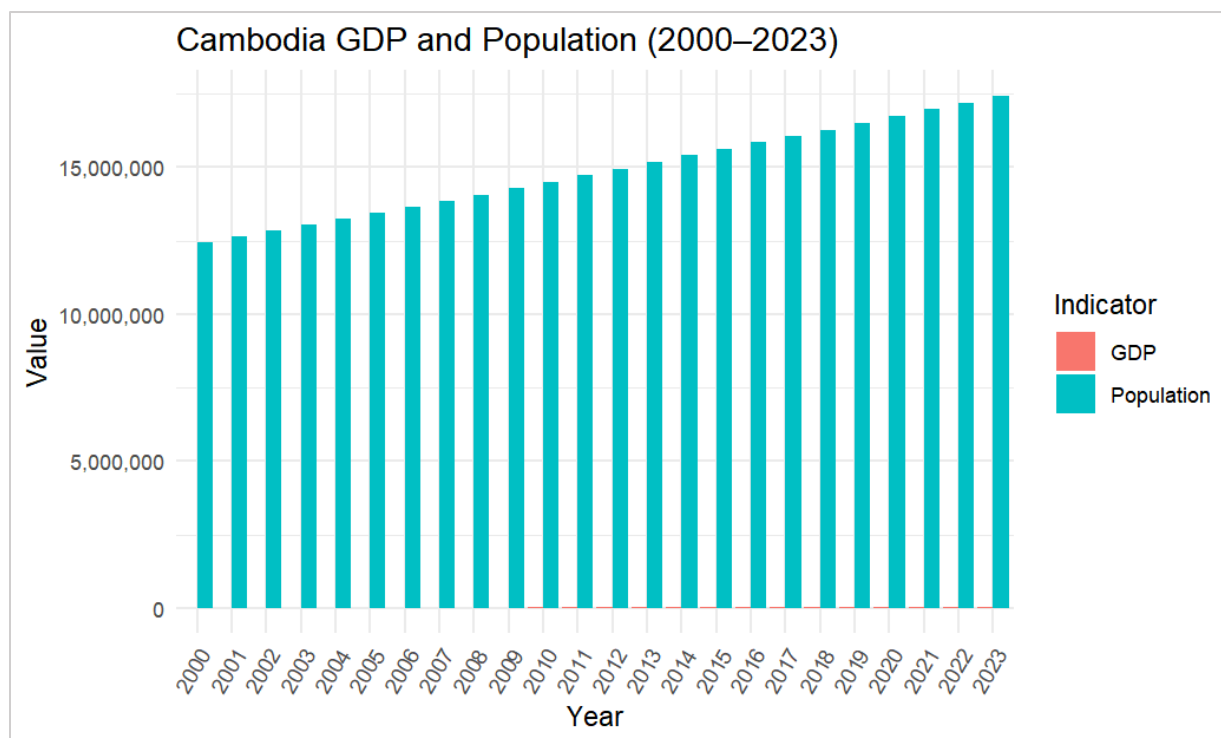


Fig.3 Cambodia GDP (million USD) and Population Cambodia

From 2000 to 2023, Cambodia's GDP per capita showed a strong and steady upward trajectory, reflecting significant economic growth relative to population increases. In 2000, the GDP per capita stood at approximately USD 294, calculated by dividing the national GDP of USD 3,666.64 million by a population of about 12.46 million. Over the following two decades, this figure rose substantially, reaching around USD 1,832 by 2023, with a GDP of USD 31,940.05 million and a population of roughly 17.42 million. This represents a more than sixfold increase in per capita income, indicating notable improvements in the average economic well-being of Cambodians.

The most rapid gains in GDP per capita occurred during high-growth periods, particularly between 2004 and 2008, and again from 2010 to 2019, when the economy expanded rapidly across sectors such as garments, construction, tourism, and agriculture. Although the COVID-19 pandemic in 2020 caused a temporary economic contraction, leading to a slight dip in GDP per capita, the country recovered quickly in subsequent years. The consistent rise in per capita income suggests that economic growth has generally outpaced population growth, resulting in increased productivity and better living standards.

Overall, the upward trend in GDP per capita reflects Cambodia's transition from a low-income to a lower-middle-income country, underscoring progress in development, infrastructure, and human capital. These findings provide a strong foundation for future economic planning and policy aimed at achieving inclusive and sustainable growth.

3.3 Prediction GDP (Million USD) from 2000-2050

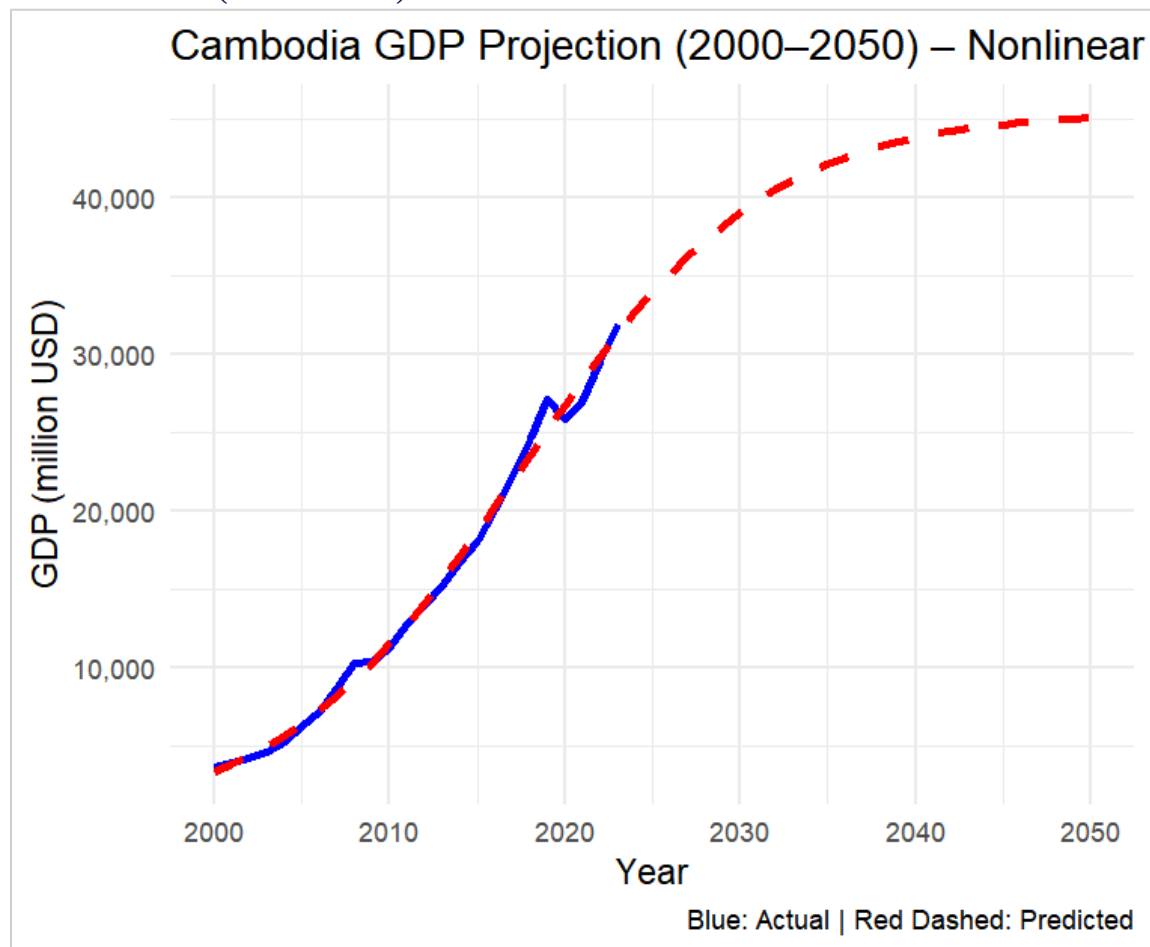


Fig. 4 Projection GDP (Million USD 2000-2050)

The graph illustrates Cambodia's GDP projection from 2000 to 2050, combining actual data (2000–2023) with a nonlinear projection through 2050. From 2000 to around 2019, Cambodia experienced consistent and accelerating economic growth, with GDP rising from approximately \$3 billion to over \$27 billion USD. A noticeable dip around 2020 reflects the economic impact of the COVID-19 pandemic, followed by a recovery in subsequent years. The actual data, shown in blue, depicts this upward trend clearly, confirming Cambodia's strong economic performance over the past two decades.

The red dashed line represents a nonlinear projection of GDP from 2023 to 2050. The forecast indicates continued growth, but at a decelerating rate, gradually approaching a plateau near \$40 billion USD by 2050. This suggests that Cambodia's economy may experience slowing growth as it matures, facing potential structural limits or saturation in traditional growth sectors. The nonlinear model implies that to sustain economic momentum, Cambodia may need to invest in innovation, diversify its economy, and enhance productivity. This projection serves as a strategic insight for policymakers and investors planning for Cambodia's long-term economic development.

4. CONCLUSION

This study has examined Cambodia's GDP performance from 2000 to 2023, highlighting the country's significant economic transformation over more than two decades. The findings demonstrate that Cambodia experienced robust and sustained economic growth, with its GDP increasing from USD 3,666.6 million in 2000 to USD 31,940.0 million in 2023. This represents an impressive eightfold expansion, underpinned by dynamic sectors such as garments, tourism, construction, and agriculture.

The analysis identified two key high-growth periods: 2004–2008 and 2011–2019, during which Cambodia consistently achieved double-digit growth rates. These years were marked by industrial expansion, increased foreign investment, and successful integration into the regional and global economy. Despite facing external shocks such as the global financial crisis in 2009 and the COVID-19 pandemic in 2020, Cambodia showed remarkable resilience. While the pandemic caused a temporary economic contraction of -4.52% in 2020, the country quickly rebounded with strong recovery rates in the following years, indicating economic stability and effective policy responses.

Overall, the data suggests that Cambodia's economic growth has been both strong and adaptable, with an average annual growth rate of approximately 9.43% over the 23-year period. The nation's ability to recover from crises and maintain upward momentum highlights the progress of its economic structure and governance. As Cambodia continues to develop and diversify its economy, the insights from this analysis provide a solid foundation for future planning, investment, and policymaking aimed at achieving inclusive and sustainable growth.

The analysis of Cambodia's GDP and population growth from 2000 to 2023 reveals a clear and consistent trajectory of economic progress. Over this 23-year period, the country's GDP grew from USD 3.67 billion to over USD 31.94 billion, while the population increased from 12.46 million to approximately 17.42 million. Despite the steady population growth, Cambodia managed to significantly boost its GDP per capita, rising from just USD 294 in 2000 to around USD 1,832 in 2023. This more than sixfold increase reflects real improvements in the average standard of living and economic well-being of the population.

The findings demonstrate that Cambodia's economic growth has largely outpaced population expansion, indicating gains in productivity and national output per person. While external shocks such as the global financial crisis in 2009 and the COVID-19 pandemic in 2020 caused temporary setbacks, the country's quick recoveries underscore its resilience and growing economic stability. The long-term upward trend in GDP per capita highlights Cambodia's successful transition toward a more diversified and dynamic economy, driven by growth in key sectors including manufacturing, services, and construction.

In conclusion, the positive trajectory of GDP per capita suggests that Cambodia is on a steady path toward greater economic development and improved living standards. These results provide strong evidence of progress and offer valuable insights for policymakers, investors, and development partners working to sustain inclusive and long-term growth for the nation.

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